PROJECT REPORT

SAP HCM Implementation for Hire-to-Retire Process in ASHA Pvt.Ltd

Title: End to End Hire-to-Retire (H2R) Process in SAP HCM

Problem Statement:

Organizations requires a structured, detailed and efficient management system for the entire lifecycle of an employee from the hiring to the retirement. The traditional HR systems often confront the following challenges:

- Manual record maintenance leading to errors
- Lack of centralized employee data
- Inefficient payroll processing
- Poor tracking of attendance and leaves
- Delayed performance analysis
- Complete exit and settlement procedures

These challenges affect the organization's efficiency to a great extent, it increases the administration workload and leads to many compliance issues. Hence, there is a requirement for the integration of the automated systems which automates the HR processes while ensuring the accuracy, transparency, and standardization.

Solution Overview:

The Hire-to-Retire(H2R) process in SAP HCM provides a comprehensive and integrated solution to manage all the HR activities throughout the employee lifecycle.

Key steps in the H2R cycle:

- Recruitment
- Hiring
- Organizational assignment
- Time management
- Payroll processing
- Performance management
- Separation (Retirement/Resignation)

SAP integrates these processes with the other modules such as:

- SAP HCM (Human Capital Management)
- FI (Financial Accounting)

These integrations ensure the seamless flow of the HR and the finance systems.

Step by Step process:

Step 1: Recruitment

- Job requisition is created based on the organization's requirements.
- HR defines the job description, required skills and the educational qualifications
- Candidates are sourced through the job portals, referrals or the recruitment agencies
- Screening and shortlisting of the applied profiles are conducted
- HR interviews and Technical Interviews are conducted for the shortlisted candidates
- Final candidates are selected from the interview round and the offer letters are rolled out

This step ensures that the organization hires the most qualified and the best fitting candidate while maintaining a structured recruitment process.

Step 2: Hiring (Personnel Administration)

- Employee master record is created in SAP
- A unique Personnel is assigned
- Employee details are stored using Infotypes

Key Infotypes:

- IT0000 – Actions (Hiring, Promotion, Transfer)
- IT0001 – Organizational Assignment
- IT0002 – Personal Data
- IT0006 – Address
- IT0008 – Basic Pay

Infotypes acts as structured data containers that store employee information, ensuring easy retrieval and consistency across the system.

Step 3: Organizational Assignment

- Employee is assigned with a department and a position
- Reporting hierarchy (Organizational hierarchy) is defined
- The employee is linked with the Organizational management (OM)

This step ensures the exact role of the employee in the company's organization and defines reporting relationships, enabling proper workflow and the authority structure.

Step 4: Time Management

- In the time management system, the employee's attendance is tracked
- Manages the leave approvals (casual, sick, paid leave)
- Work schedules are maintained
- Records the overtimes and the holidays

Time management ensures precise tracking of the employee working hours, which directly impacts payroll calculation and compliance.

Step 5: Payroll Processing

- Salary structure is preset on the basis of the job role and the grade of the job in the organization.
- Wage types are configured for the earnings and deductions

Salary components include:

- Basic salary
- House rent allowance
- Conveyance allowance
- Bonus/Incentives
- Deductions (PF, Tax, Insurance)
- Payroll is processed every month
- Net salary is calculated automatically
- Payslips are generated

This step ensures timely and accurate salary payment while complying with statutory regulations.

Step 6: Performance management

- Periodical evaluation of the employee performance
- Key Performance Indicators are defined
- Ratings and feedbacks are recorded
- Promotions and the increment in the salary is decided

Performance management helps in the development, motivation, as well as in the growth of the organization.

Step 7: Separation (Retirement/Resignation)

- Employee resignation or the retirement is processed
- Notice period and the exit formalities are processed
- Final settlement includes the salary, leave encashment and the benefits that were promised during the joining and has been added afterwards
- Employee record is removed and put into the deactivated account

This ensures a smooth exit process and a proper financial closure for the employee.

Tech Stack:

- ERP System: SAP S/4 HANA
- Module Used: SAP HCM
- Supporting Module: SAP FI
- Database: HANA Database
- Interface: SAP GUI/ FIORI Apps

Organizational Structure:

Component	Value
Client	900
Company Code	1000
Personnel Area	1000 (Kolkata)
Personnel Subarea	1001 (HQ)
Employee Group	Permanent
Employee Subgroup	Fulltime

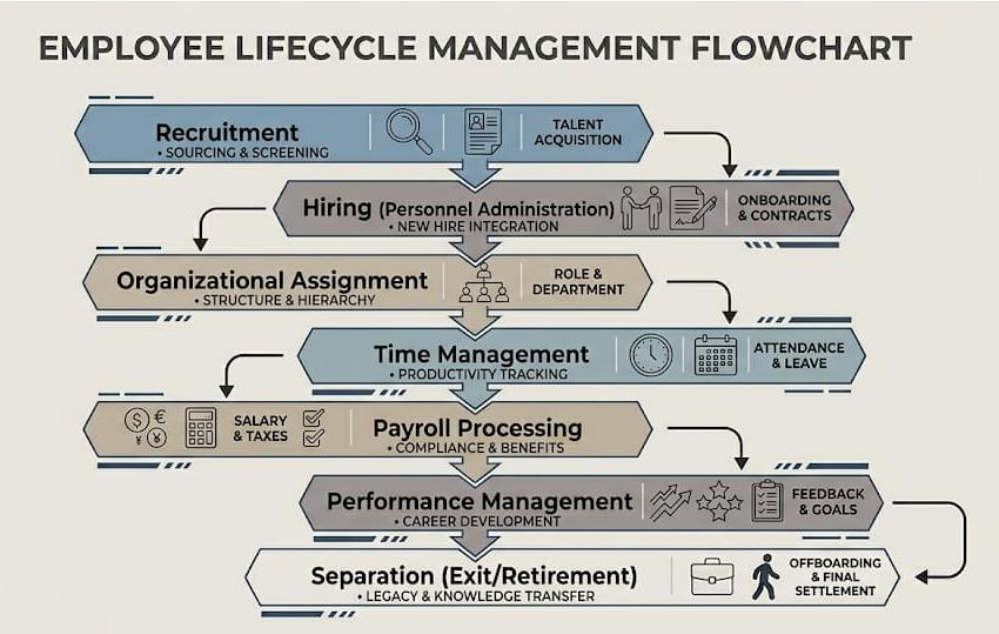
Integration with the Finance (FI):

The Hire-to-Retire (H2R) process integrates the SAP FI for financial postings:

- Salary payment Entry: 1) Dr Salary Expense, 2) Cr Bank
- Statutory deductions: 1) Dr Employee Payable, 2) Cr Govt. Liabilities

This integration ensures that the payroll transactions are automatically reflected in the financial accounting.

OVERALL PROJECT IN A FLOW:



Striking points of the project:

- Complete automation of the lifecycle of an employee
- Data being managed centrally
- Improvised payroll accuracy and the efficiency is also enhanced
- Real-time tracking of the employee data
- Seamless integration with the finance
- Reduction in manual errors

Example Scenario:

Let's consider an employee named Aditya Verma who has been hired as a SWE:

- Recruitment process has been completed successfully
- Employee data created using infotypes
- Assigned to IT department as a Team Lead reporting to a product manager
- Monthly salary fixed at ₹1,25,000
- His attendance is tracked using the time management module
- The payroll is being processed every month automatically
- Performance is evaluated quarterly
- He resigns after 5years and the final settlement is processed

This demonstrates the complete lifecycle from hiring to exit.

Scopes for improvements:

- AI based recruitment process
- Cloud based HR system
- Chatbots for the HR support

CONCLUSION

The Hire-to-Retire(H2R) process in SAP HCM provides a structured and automated approach in managing human resources efficiently. This enhances operational efficiency, ensuring the data accuracy as well as supporting better decision making. By integrating HR with financial systems, organizations can achieve transparency, compliance, and improved productivity.

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